



Brightlearn

Sales Analysis

Moving Forward



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Agenda



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Executive Summary

This analysis evaluates the sales performance of a retail product using daily sales, cost of sales, and quantity sold data. Key metrics, including daily selling price, average selling price, gross profit percentage, gross profit per unit, and price elasticity of demand during promotional periods, were calculated to assess product performance. The analysis also includes monthly, annual, and day-of-week trends, supported by an interactive dashboard and visualizations. The findings provide insights into pricing effectiveness, profitability, and customer demand to support data-driven business decisions.



 KPI Overview

TOTAL SALES	TOTAL GROSS PROFIT	OVERALL GP%	UNITS SOLD
R 186.91M	-R 7.12M	-3.81%	5,279,872

Key Insights

- The business generated R186.9 million in sales.
- More than 5.2 million units were sold.
- Overall gross profit was negative, indicating pricing or cost challenges.
- Average selling price remained around R37 per unit throughout the analysis.

Daily metrics (Price/Unit, Gross Profit %, GP per Unit %)

Metrics 1, 3, and 4 were computed per trading day directly from sales, cost of sales, and quantity sold. A sample of the daily output is shown below. The complete 1,053-row table is available in the accompanying workbook.

Date	Sales (R)	Price/Unit (R)	GP %	GP/Unit (R)	GP?Unit %
30/12/2013	223937.97	230079.62	6827	32.8	-2.74%
31/12/2013	300345.48	306986.12	9268	32.41	-2.21%
1/1/2014	86782.47	87986.32	2678	32.41	-1.39%
2/1/2014	200173.12	202881.18	6175	32.42	-1.35%
3/1/2014	326906.07	333806.29	10084	32.42	-2.11%
4/1/2014	307043.94	313652.35	9470	32.42	-2.15%
5/1/2014	179188.88	183083.28	5524	32.44	-2.17%
6/1/2014	306351.95	313446.07	9448	32.43	-2.32%
7/1/2014	224020.41	229533.97	6911	32.42	-2.46%
8/1/2014	101836.4	99381.97	2990	34.06	2.41%
9/1/2014	107804.3	104816.46	3159	34.13	2.77%
10/1/2014	144829.96	141334	4246	34.11	2.41%
11/1/2014	146571.48	143179.67	4297	34.11	2.31%
12/1/2014	95422.37	93126.15	2796	34.13	2.41%

Key Insights

Daily Gross Profit % and Daily Gross Profit per Unit % produce the same percentage because they are calculated using the same underlying relationship between sales and cost of sales. To provide additional business context, Gross Profit per Unit in Rand is also included as a separate metric.

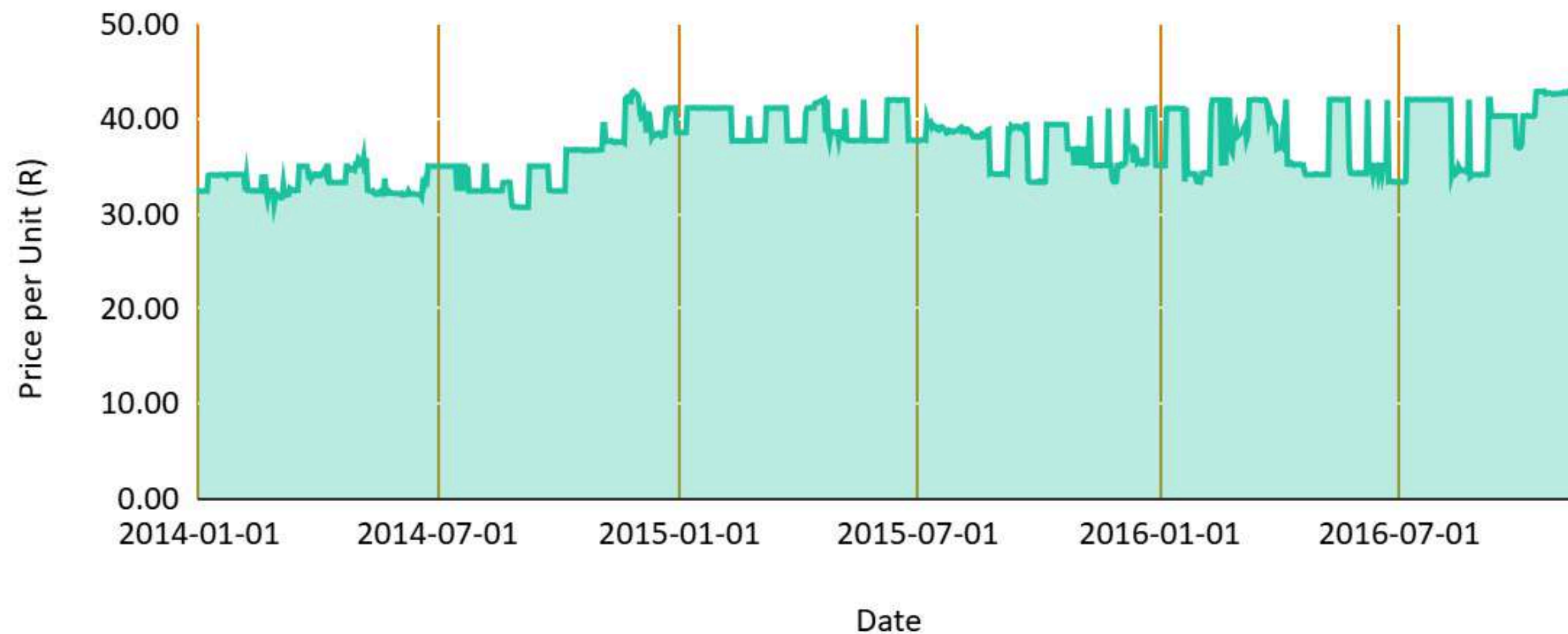
Sales & Profit Performance

- Sales fluctuated throughout the analysis period.
- Gross profit margins remained relatively stable.
- The highest-performing month generated the strongest sales.
- Profitability declined during some promotional periods.

Average Unit Sales Price

Although the average daily unit price was R37.07, the volume weighted average was lower at R35.40. This indicates that higher sales volumes were achieved during lower priced promotional periods, demonstrating the influence of discounts on customer purchasing behaviour.

Price per Unit (R) vs Date



Key Insights

Overall, promotional pricing successfully stimulated customer demand by lowering the unit selling price, supporting the findings from the price elasticity analysis that customers were responsive to price changes.

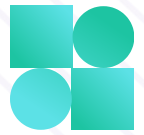
Price Elasticity of Demand – 3 Promotional Periods

Promotional periods were identified when the daily unit selling price remained more than 6% below the 30-day rolling average for several consecutive days. To measure the impact of each promotion, the average selling price and units sold during the promotional period were compared with the equivalent period immediately before the promotion (the baseline).

Period	Period	Period	Period	Period	Period	Period	Period
Promo 1 (22 Jan - 08 Feb 2016)	R40.03	R34.07	-14.90%	3,101	7,925	155.60%	-10.46
Promo 2 (23 Sep - 06 Oct 2015)	R39.14	R33.40	-14.70%	1,339	8,089	503.90%	-34.35
Promo 3 (27 Jun - 06 Jul 2016)	R35.03	R33,39	-4.70%	6,719	8,475	26.10%	-5.56

Key Insights

- All three promotional periods showed highly elastic demand (elasticity: -5.56 to -34.35).
- Small price reductions resulted in substantial increases in units sold.
- Promotion 2 (Sep–Oct 2015) achieved the strongest response, with a 14.7% price reduction leading to over 500% growth in sales volume.
- Promotional pricing effectively increased customer demand.
- Further analysis is required to determine whether the higher sales volumes translated into improved profitability after accounting for the cost of sales.



Additional Insight: The Product Is Loss-Making Overall

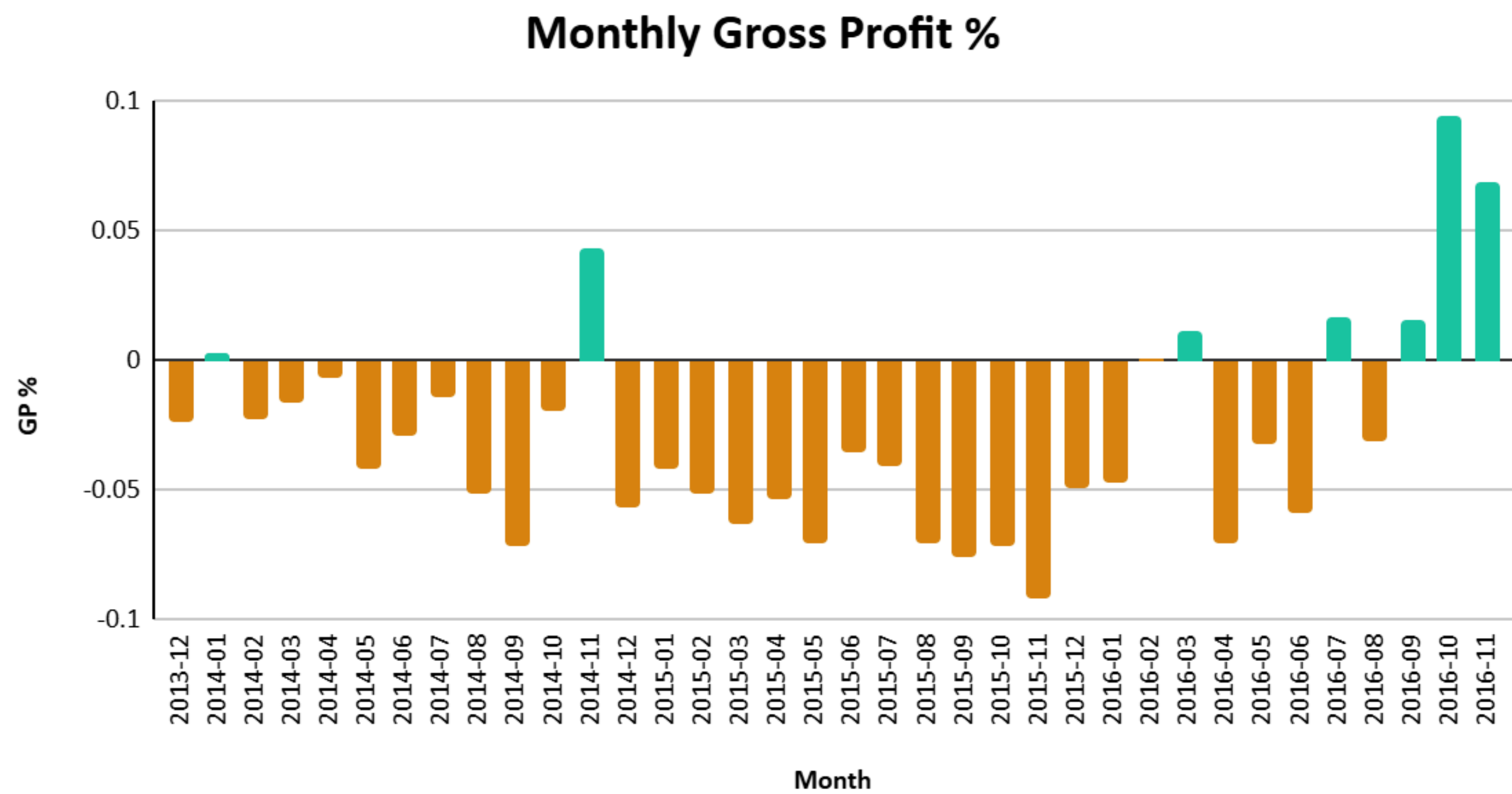
Over the 1,053 day analysis period, total Cost of Sales (R194.03 million) exceeded total Sales (R186.91 million), resulting in an overall gross loss of R7.12 million and a gross profit margin of -3.81%. However, this performance was not consistent throughout the period. A closer look at the annual and monthly results shows that profitability improved over time, indicating positive progress in the business's financial performance.

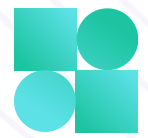
Year	Total Sales (R)	Total GP (R)	GP %	Units Sold	Avg Price (R)
2013	524,283	-12,782	-2.44%	16,095	R32.60
2014	75,414,976	-2,265,874	-3.00%	2,254,230	R34.57
2015	64,017,593	-3,899,610	-6.09%	1,715,089	R38.33
2016	46,953	-938,014	-2.00%	1,294,458	R38.62

Key Insights

- Total sales amounted to R186.91 million over the analysis period.
- Cost of Sales (R194.03 million) exceeded total sales, resulting in an overall gross loss of R7.12 million (-3.81%).
- Profitability was not consistent across the analysis period.
- Annual and monthly trends show that the business gradually improved its gross profit performance over time, indicating positive operational progress.

Although the business recorded negative gross profit throughout the analysis period, its performance improved over time. Gross profit margin declined from -3.00% in 2014 to -6.09% in 2015, making 2015 the weakest year. However, the trend reversed in 2016, with the margin improving to -2.00%. The monthly analysis also shows that the final recorded months (July, September, October, and November 2016) achieved positive gross profit, suggesting that changes in pricing, cost management, or both were beginning to improve the business's profitability.

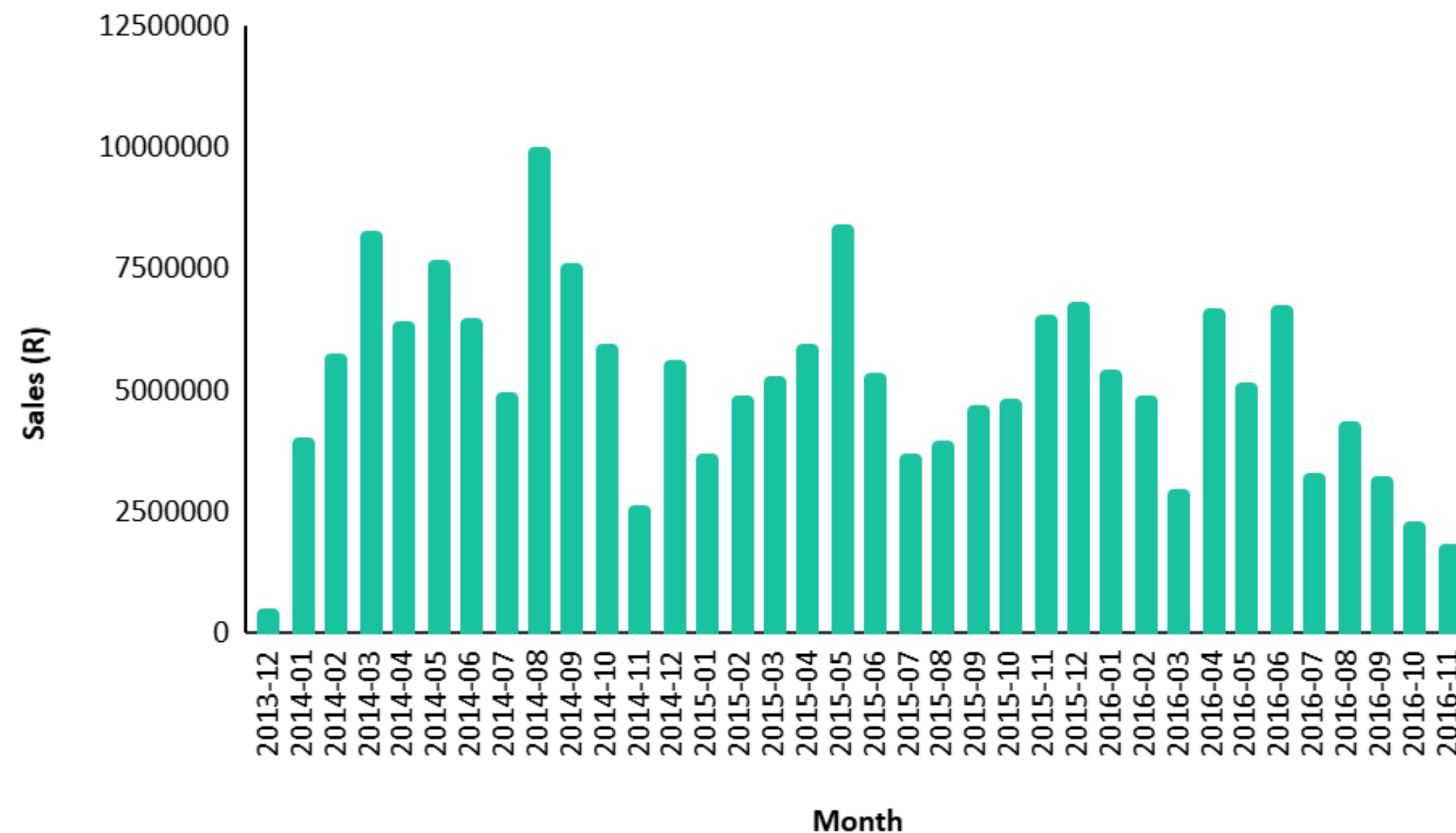




Monthly Sales Trend

Sales displayed clear seasonal fluctuations, with notable peaks in March 2014, August 2014, and May 2015. However, from mid-2016 onward, monthly sales volumes gradually decreased, indicating weaker demand compared to earlier periods.

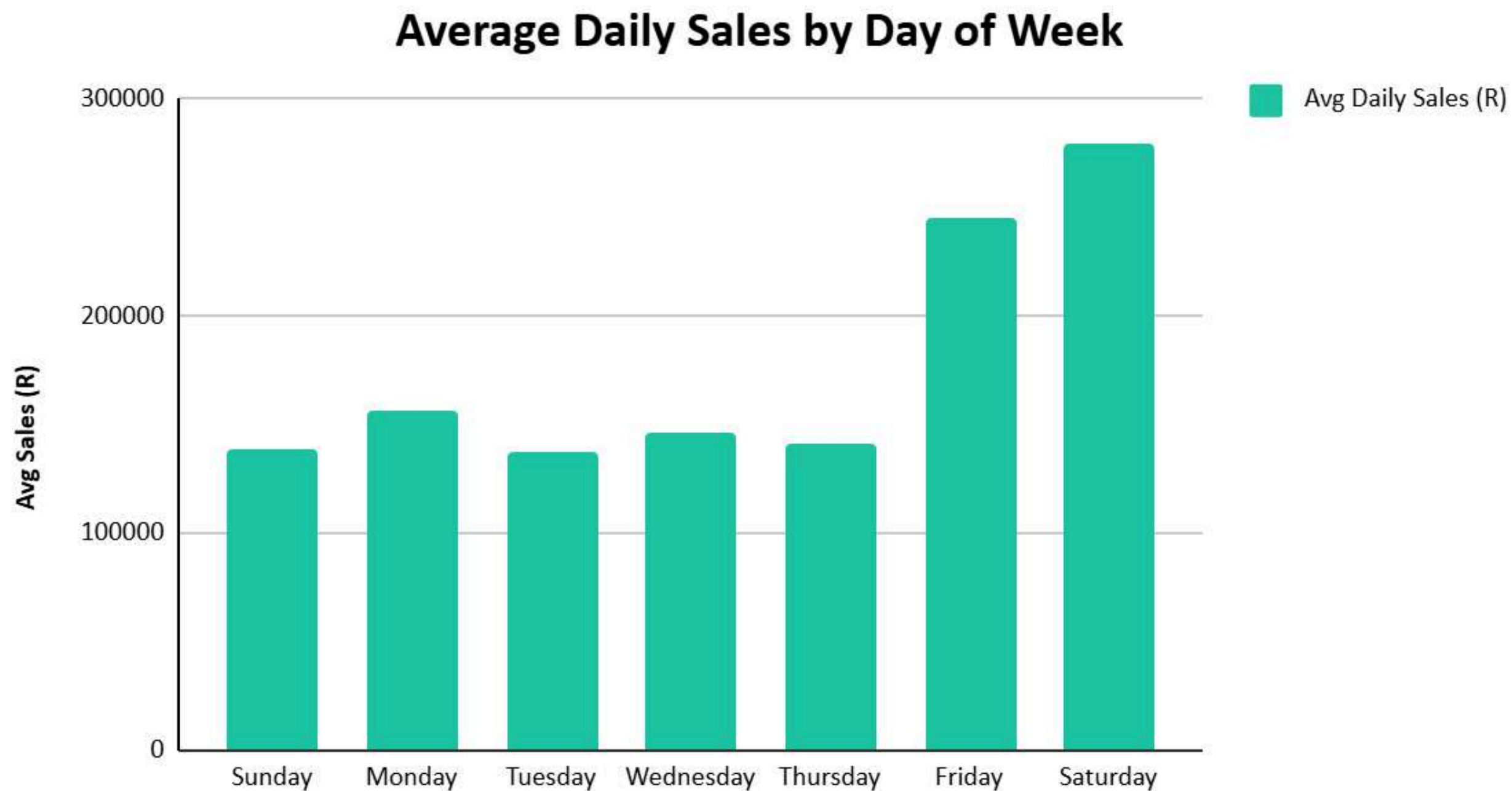
Total Monthly Sales (R)



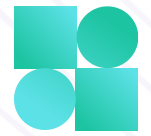
Key Insights

- Sales followed a seasonal pattern, with demand peaking in March 2014, August 2014, and May 2015.
- Performance varied across the analysis period rather than showing a consistent trend.
- Monthly sales volumes declined from mid-2016 onward, suggesting a reduction in customer demand.
- These seasonal trends can help guide inventory planning, promotional timing, and resource allocation.

Day of Week Pattern



Fridays and Saturdays recorded the highest average daily sales, generating approximately 70–90% more sales than midweek trading days. This weekend demand pattern highlights the importance of aligning staffing levels, inventory planning, and promotional activities with peak customer traffic.

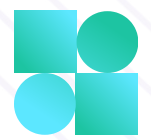


Recommendations

- **Optimize Promotional Pricing** Promotions significantly increased demand during all three promotional periods. Continue using targeted promotional campaigns while monitoring their impact on profitability.
- **Improve Gross Profit Margins** Although sales volumes were high, overall gross profit remained negative. Review pricing strategies and supplier costs to improve margins.
- **Focus on High-Performing Trading Days** Allocate inventory and operational resources to weekdays with consistently higher sales.
- **Monitor Pricing Strategy** Maintain competitive pricing while avoiding excessive discounts that reduce profitability.
- **Use Elasticity for Future Decisions** Price elasticity analysis should guide future promotional campaigns and pricing decisions.

Conclusion

The analysis demonstrates that the product experiences strong customer demand, particularly during promotional periods. However, despite generating substantial sales revenue, the business consistently recorded negative gross profit, highlighting the need for improved pricing and cost management. By combining pricing analysis, profitability metrics, and elasticity measurements, management can make more informed decisions to improve both revenue and long-term profitability.



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